Default And Collections Policy

Last updated: January 2025

Overview

This policy explains what happens when a loan becomes delinquent, the hardship and loss-mitigation options available before default, how collections are handled, and the consequences of default including credit reporting, repossession, and foreclosure. Our goal is to help borrowers stay in their loans wherever possible.

1. Delinquency

1.1 Missed Payment

A payment not received by the due date is past due. A grace period (typically 10 to 15 days) applies before a late fee is assessed, but interest continues to accrue.

1.2 Delinquency Stages

- 1 to 29 days past due: late fee may apply; reminder notices sent
- 30 to 59 days past due: reported delinquent to credit bureaus; outreach intensifies
- 60 to 89 days past due: account referred to collections; loss-mitigation options offered
- 90+ days past due: account considered in default; acceleration may occur

1.3 Communication

We attempt to reach delinquent borrowers by phone, mail, email, and secure message. Borrowers are encouraged to respond early; ignoring notices reduces available options.

2. Hardship Assistance

2.1 When To Reach Out

Borrowers who anticipate difficulty making a payment should contact servicing before missing a payment. Early contact opens the widest range of options.

2.2 Eligible Hardships

Examples include job loss or reduced income, medical emergency, divorce or death in the household, natural disaster, or military deployment. Documentation may be required.

2.3 Forbearance

Forbearance temporarily pauses or reduces payments for a defined period. Interest generally continues to accrue. At the end of forbearance, the borrower resumes payments and repays the paused amount through a plan, a lump sum, or by extending the term.

2.4 Repayment Plan

A repayment plan spreads past-due amounts over several months in addition to regular payments, allowing the borrower to become current over time.

2.5 Loan Modification

A modification permanently changes one or more loan terms (rate, term, or principal) to make payments affordable. Modification requires documentation of hardship and income and is subject to approval.

3. Default

3.1 Definition Of Default

A loan is in default when it remains seriously past due (generally 90 days) or when another term of the agreement is breached, such as failing to maintain required insurance on secured collateral.

3.2 Acceleration

Upon default, the lender may accelerate the loan, making the entire remaining balance immediately due and payable, as permitted by the loan agreement and applicable law.

3.3 Notice

Before taking certain actions, the lender provides notices required by law, which may include a right to cure the default within a specified period.

4. Collections

4.1 Internal Collections

Past-due accounts are first handled by our internal collections team, which works with borrowers on payment arrangements and loss-mitigation options.

4.2 Third-Party Collections And Charge-Off

If an account remains unpaid, it may be charged off and placed with or sold to a third-party collection agency. Charge-off is reported to credit bureaus and significantly harms credit.

4.3 Fair Debt Collection Practices

All collection activity complies with the Fair Debt Collection Practices Act and applicable state law. We do not use harassment, false statements, or unfair practices. Borrowers may request that we communicate only in writing or through specified channels.

5. Secured Loan Consequences

5.1 Auto Repossession

For auto loans in default, the lender may repossess the vehicle in accordance with state law and sell it to recover the debt. A deficiency balance remains the borrower's responsibility; surplus is returned. See the Auto Loan Policy.

5.2 Mortgage Foreclosure

For mortgages in default, the lender may initiate foreclosure to sell the property and recover the debt, subject to required notices and waiting periods. Loss-mitigation review is offered before foreclosure where required. See the Mortgage Loan Policy.

5.3 Loss Mitigation Before Loss Of Collateral

We evaluate eligible borrowers for loss-mitigation options before completing repossession or foreclosure. Borrowers should respond promptly to all outreach to be considered.

6. Credit Reporting Impact

6.1 Delinquency Reporting

Payments 30 or more days past due are reported as delinquent and remain on the credit report for up to seven years.

6.2 Charge-Off And Public Records

Charge-offs, repossessions, foreclosures, and related judgments are reported and significantly lower credit scores, affecting future borrowing.

6.3 Recovery

Bringing an account current, completing a repayment plan, or settling a charged-off debt is reported and, over time, supports credit recovery. We report updated status promptly after a borrower resolves a delinquency.

7. Borrower Rights

7.1 Right To Information

Borrowers may request the amount owed, the status of their account, and an explanation of fees at any time.

7.2 Right To Dispute

Borrowers may dispute the accuracy of amounts owed or credit reporting. We investigate disputes and correct verified errors.

7.3 Protections During Hardship

Eligible borrowers may be entitled to additional protections under federal or state programs, including protections for active-duty servicemembers under the Servicemembers Civil Relief Act.

8. Contact

To discuss a past-due account or hardship options, contact our assistance team Monday through Friday 8 AM to 8 PM by phone at 1-800-555-0188, by secure message in the online portal, or by email at assistance@bankexample.com. Reaching out early gives you the most options.